No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR

STEVEN VIN SAINT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT

On Writ of Certiorari to the
United States Court of Appeals for the Thirteenth Circuit

Brief for Respondent

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Counsel for Respondent

QUESTIONS PRESENTED

I. Does 11 U.S.C. § 362(a)(3) require a secured creditor to turn over collateral it lawfully repossessed from a debtor prepetition and passively retains possession of post-petition without a turnover order containing adequate protection for the creditor's legal interests?

II. Does a bankruptcy court have authority under 11 U.S.C. § 503(b) to grant an administrative expense for a substantial contribution in a chapter 7 case where a secured creditor's actions resulted in the recovery of assets for the benefit of the estate?

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OPINIONS BELOW

The Bankruptcy Court for the District of Moot denied the Debtor's motion asking the court to find that Respondent violated the automatic stay under 11 U.S.C. § 362(a)(3). R. at 6. After the Debtor converted the chapter 11 case to a case under chapter 7 of the Bankruptcy Code, the bankruptcy court granted Respondent's motion for a substantial contribution administrative expense pursuant to section 503(b). R. at 7–8. Petitioner timely appealed both decisions. R. at 6, 8. The two appeals were consolidated before the Bankruptcy Appellate Panel, which affirmed on both issues. R. at 9. The United States Court of Appeals for the Thirteenth Circuit also affirmed; its opinion is reproduced as the record in this appeal.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions involved in this case are listed below and reproduced in Appendices A through I.

11 U.S.C. § 102

11 U.S.C. § 105

11 U.S.C. § 362

11 U.S.C. § 363

11 U.S.C. § 503

11 U.S.C. § 541

11 U.S.C. § 542

11 U.S.C. § 701

Fed. R. Bankr. P. 7001(1)

STATEMENT OF THE CASE

Backstreets Plowing, Inc. ("Debtor"), through its owner and sole shareholder, Christopher Clemons ("Clemons"), operated a seasonal snow plowing business. R. at 3. While the business needed new equipment to survive and grow in the snow plow industry, the Debtor lacked the necessary funds to purchase such equipment. R. at 3–4. Clemons asked Milton Weinberg ("Respondent") to loan him $450,000 so that the Debtor could purchase new, fuel-efficient snow plow trucks. R. at 3–4. Respondent agreed to loan the Debtor the funds. R. at 4. To secure repayment of the loan, Respondent obtained both a security interest in the trucks from the Debtor and a personal guarantee from Clemons.[1] R. at 4. As part of the loan agreement, the Debtor agreed to make monthly payments to Respondent starting in December 2015. R. at 4.

After the purchase of the new snow plow trucks, the Debtor submitted a bid for a plowing contract with the City of Badlands. R. at 4. However, the Debtor's bid was for an amount that was substantially less than the bids of its competitors. R. at 4. In fact, the bid was so low that members of the city council doubted whether the Debtor could perform under the contract and make any profits. R. at 4. Regardless, the city awarded the contract to the Debtor. R. at 4. Because the city experienced an abnormally mild winter that year, the Debtor was able to keep his costs to a minimum. R. at 5. And since the contract with the city provided a flat rate, this was profitable for the Debtor in the first year of the contract. R. at 5.

Despite the Debtor's profitable winter of 2015–2016, Clemons had not made a single payment to Respondent as of February 2016. R. at 5. After several unsuccessful attempts to discuss the matter with Clemons, Respondent filed suit on the note in April 2016. R. at 5. The State of Moot Circuit Court entered a default judgment against both the Debtor and Clemons, which held

[1] The parties stipulated below that Respondent perfected his security interest in the snow plow trucks and therefore holds a first priority lien on the trucks. R. at 4 n.3.

them jointly and severally liable for the $450,000 owed plus interest and fees. R. at 5. Thereafter, Respondent initiated collection efforts on the judgment and lawfully repossessed the snow plow trucks from the Debtor's parking lot. R. 6. The repossessed snow plow trucks remain safely stowed in Respondent's warehouse. R. at 6.

Because the Debtor was unable to meet its business obligations, it filed a petition under chapter 11 of the Bankruptcy Code in February 2017. R. at 6. After filing the petition, the Debtor's attorney demanded that Respondent immediately return the snow plow trucks Respondent had legally repossessed. R. at 6. Respondent, however, believed and testified below that the Debtor needed to bring a turnover action to reclaim the trucks—which would have provided Respondent with an opportunity to demand adequate protection of his interest in the trucks. R. at 6. Rather than commencing a turnover action, the Debtor filed a motion asking the Bankruptcy Court for the District of Moot to find that Respondent's passive retention of the snow plow trucks violated the automatic stay under 11 U.S.C. § 362(a)(3). R. at 6. The bankruptcy court denied the Debtor's motion and held that Respondent did not violate the automatic stay because mere retention of the trucks—property lawfully repossessed prepetition—was not an "act to . . . exercise control over property of the estate" under section 362(a)(3). R. at 6. Debtor timely appealed this decision. R. at 6.

Shortly thereafter, the Debtor converted the chapter 11 case to a case under chapter 7 of the Bankruptcy Code. R. at 7. The Trustee ("Petitioner") was appointed to administer and liquidate the property of the bankruptcy estate. R. at 7. The Bankruptcy Appellate Panel stayed the pending appeal of the automatic stay issue to allow Petitioner to get up to speed and acquaint himself with the case. R. at 7.

Following the conversion of the case to chapter 7, Respondent, in an effort to collect on the judgment related to Clemons's personal guarantee, hired a collection law firm that conducted a creditors' examination of Clemons. R. at 7. The examination revealed that in May 2016, after Respondent filed his initial lawsuit against the Debtor and Clemons, Clemons made transfers of approximately $100,000 to his daughter's, Patti Clemons, bank account. R. at 7. Respondent voluntarily provided this information to Petitioner, along with sufficient evidence to prove the transfers were avoidable as fraudulent transfers. R. at 7. Petitioner used the evidence Respondent provided to file suit against Patti Clemons to recover the fraudulent transfers. R. at 7. Patti Clemons promptly settled with Petitioner and agreed to pay $75,000 to the estate. R. at 7.

The investigation of the fraudulent transfers cost Respondent $25,000 in legal fees. R. at 7. Respondent filed a motion seeking an allowance of an administrative expense for his substantial contribution pursuant to section 503(b) of the Bankruptcy Code. R. at 7. While Petitioner acknowledged that Respondent made a substantial contribution to the estate, he opposed the motion on the grounds that section 503(b)(3)(D) expressly limits substantial contribution administrative expenses to cases under chapter 9 or 11 of the Bankruptcy Code. R. at 8. The bankruptcy court disagreed, and granted Respondent an administrative expense in the amount of $25,000. R. at 8. Petitioner timely appealed this decision. R. at 8.

In September 2017, Tenth Avenue Freeze, Inc. ("Tenth Avenue"), a competitor of the Debtor, offered to purchase the snow plow trucks along with most of the Debtor's other assets. R. at 8. However, Tenth Avenue's offer was contingent on the immediate conveyance of title to the snow plow trucks. R. at 8. Due to the pending appeal and the unsuccessful negotiations between Petitioner and Respondent, Tenth Avenue withdrew its offer a few months later. R. at 8. Thereafter, Stone Pony Plowing, LLC. ("Stone Pony"), another competitor, offered to buy all of the Debtor's

assets, *with the exclusion of the snow plow trucks*, for a lesser amount than that offered by Tenth Avenue. R. at 8. The Petitioner agreed to this offer, and the bankruptcy court approved the sale in February 2018. R. at 9.

The two appeals—the bankruptcy court's determination that Respondent did not violate the automatic stay and its decision to grant Respondent a substantial contribution administrative expense—were consolidated before the Bankruptcy Appellate Panel. R. at 9. The Bankruptcy Appellate Panel affirmed on both issues. R. at 9. Petitioner timely appealed to the Thirteenth Circuit, which also affirmed. R. at 21. This appeal follows.

SUMMARY OF ARGUMENT

Respondent's passive retention of the snow plow trucks he legally repossessed prior to the Debtor's bankruptcy filing did not violate the automatic stay under section 362(a)(3). Section 362(a)(3) precludes entities from exercising control over the property of a bankruptcy estate. A section 362(a)(3) violation requires a *post-petition* "act" by the non-debtor party. A proper interpretation of Congress' use of the word "act" in section 362(a)(3) supports this conclusion. The phrase "act . . . to exercise control" indicates that an affirmative act is required. Because Respondent legally repossessed the snow plow trucks prepetition, his passive retention of the trucks does not constitute an "act" under section 362(a)(3).

Petitioner's assertion that section 542(a) is self-executing and imposes a duty on Respondent to return the trucks in order to abide by section 362(a)(3) is misguided. The automatic stay under section 362(a)(3) prohibits parties from gaining possession or control over the property of the estate. But a party that already has possession and passively retains possession of the property cannot be deemed to have "acted" in violation of the automatic stay.

Section 363—which protects entities who have an interest in the property of the estate—is expressly referenced in section 542(a). Thus, these statutory provisions must be read in the aggregate. While section 542 requires the turnover of property of the estate, it *only* applies to property the trustee may use, sell, or lease under section 363. Section 363 refers to property the trustee may use, sell, or lease for the benefit of the estate. If the third party has an interest in that property, however, section 363(e) requires the court, upon request by the third party, to prohibit or condition the trustee's use, sale, or lease of the property in a manner that provides adequate protection to the third party.

When read together, sections 542(a) and 363(e) require the debtor to commence a turnover action to recover property in possession of a creditor, allowing the creditor an opportunity to request adequate protection from the court before the property is delivered to the trustee. A creditor, moreover, has the right to continue possessing property "of inconsequential value or benefit to the estate," which further exemplifies that a section 542(a) turnover action must be filed so the court can determine whether the property at issue falls under this exception. Accordingly, section 542(a) is not self-executing.

Finally, if Congress intended for section 542(a) to be self-executing, it would have expressly said so. Instead, it created specific procedures for a turnover action and exceptions where turnover is not required. Based on these limitations, Congress' intent to make section 542 not self-executing is clear.

Because section 542(a) is not self-executing, the estate does not have a possessory interest in the debtor's property, which is in possession of a creditor, until the court issues a turnover order. The creditor who passively retains property of the debtor cannot be exercising control over "property of the estate" because the possessory interest is not property of the estate. Since

Respondent was not exercising control over property of the estate, this Court should affirm the Thirteenth Circuit's determination that Respondent did not violate the automatic stay under section 362(a)(3).

Turning to the second question, the Thirteenth Circuit correctly held that the bankruptcy court had authority to grant Respondent an administrative expense for the substantial contribution he made to the bankruptcy estate. Section 503(b) allows for administrative expenses where, as here, a creditor's actions substantially benefitted the estate. Although section 503(b) specifically allows for these contributions in cases under chapter 9 or 11, because Congress used the word "including" in the statute, these administrative expenses are not limited to only chapter 9 and 11 cases. Further, permitting an administrative expense for a creditor's substantial contribution in a case under chapter 7 is also consistent with the purpose of the Bankruptcy Code, which serves to provide equitable relief to both debtors and creditors.

First, permitting an administrative expense in a chapter 7 case is consistent with the plain meaning and structure of section 503(b). Section 503(b) states that "there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—" thereafter a list of examples of expenses are enumerated. By expressly using the word "including," which the Bankruptcy Code defines as non-limiting—Congress made this list non-exhaustive and gave bankruptcy courts discretion to grant administrative expenses. Restricting substantial contribution claims to chapter 9 and 11 cases would turn Congress' broad grant of discretion into a limitation, which conflicts with the unambiguous meaning of the word "including" in section 503(b)'s introductory clause.

Second, neither section 503(b)(3)(D) nor any provision in the Bankruptcy Code prohibits the award of an administrative expense in a chapter 7 case, especially where the circumstances

warrant such an award. As supported by case law, Congress specifically referenced chapters 9 and 11 in section 503(b)(3)(D) because in these cases, a creditor will spend its own resources to benefit the estate, while that is usually not the situation in chapter 7 cases. *In re Connolly N. Am., LLC*, 802 F.3d 810 (2015). As such, the fact that chapter 7 was not explicitly referenced does not mean that it was excluded.

Third, allowing administrative expenses in chapter 7 cases advances the policies of the Bankruptcy Code. Congress created section 503(b) to provide compensation for administrative expenses incurred by others, especially creditors who take action to benefit the estate. Therefore, these efforts should be rewarded. Disallowing bankruptcy courts to grant administrative expenses in all chapter 7 cases contravenes the spirit of the Code by discouraging creditors from taking action that benefits the estate. Such was not the intention of Congress. Adopting Petitioner's interpretation of section 503(b) would thus have a chilling effect upon creditor participation in bankruptcy proceedings and result in the substantial loss of assets for estates in general.

For these reasons, this Court should affirm the Thirteenth Circuit's finding that section 503(b) permitted the bankruptcy court to grant Respondent an administrative expense for his substantial contribution to the estate.

ARGUMENT

The facts of this case are undisputed. R. at 9. This appeal presents only questions of law, which are reviewed de novo. *In re Applied Theory Corp.*, 493 F.3d 82, 85 (2d Cir. 2007).

I. A creditor's passive retention of property of the estate legally repossessed prior to the bankruptcy filing does not violate section 362(a)(3)'s automatic stay.

Section 362(a)(3) provides that when a bankruptcy petition is filed, it "operates as a stay" on "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). The issue in this case is

whether Respondent's refusal to turn over property of the Debtor, which he legally repossessed prepetition, without a turnover order under section 542(a) constituted "an act . . . to exercise control over property of the estate" and thus violated the automatic stay. Respondent's passive retention of the snow plow trucks does not constitute "an act" under section 362(a)(3). Nor, under these circumstances, did Respondent exercise "control over the property of the estate" by passively retaining the assets he lawfully repossessed before the Debtor filed its bankruptcy petition. Thus, as the Thirteenth Circuit found below, Respondent did not violate the automatic stay.

There is currently a circuit split over the proper interpretation of section 362(a)(3), particularly the phrase "any act . . . to exercise control." The minority view, and the correct view, is that a creditor does not violate the automatic stay imposed by section 362(a)(3) by passively retaining property of the estate that he legally repossessed prepetition, pending the issuance of a turnover order containing adequate protection for that creditor. *See W.D. Equipment, LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 950 (10th Cir. 2017) ("[O]nly affirmative acts to gain possession of, or to exercise control over, property of the estate violate[s] section 362(a)(3)."); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991) ("The statutory language makes clear that the stay applies only to acts taken *after* the petition is filed."); *United States v. Hall*, 502 B.R. 650, 667 (Bankr. D.C. 2014) ("[P]ossession is not an interest of the debtor constituting property of the estate. Accordingly, a creditor's continued retention of possession is not an exercise of control over a right of possession that is property of the estate.").

In contrast, the majority view contends that the passive retention of property of the estate that a creditor legally repossessed prepetition violates section 362(a)(3) because the creditor's

refusal to return the property to the trustee constitutes "'exercising control' over" property of the estate. *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2nd Cir. 2013). As the courts below duly explained, this interpretation of the statute contradicts the Bankruptcy Code and the intent of Congress.

A plain reading of the relevant statutes under the Bankruptcy Code shows that a creditor's passive possession of property of the estate, which was legally repossessed by the creditor prepetition, does not violate section 362(a)(3) until the issuance of a turnover order containing adequate protection for the secured creditor. Respondent in this case did not take any post-petition affirmative act as required by the plain language of the statute. Section 542(a) is not self-executing, and the estate in this case would not have had a possessory interest in the property until a turnover order is issued by the court. Therefore, the Respondent did not take any act "to exercise control over property of the estate." Thus, the judgment of the Thirteenth Circuit should be affirmed.

A. An "act" under section 362(a)(3) requires an affirmative act to do something.

When interpreting a statute, courts must begin "with the language of the statute itself." *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 241 (1989). Furthermore, this Court has commanded that Congress says what it means and means what it says when drafting statutes. *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253–54 (1992). If the words of a statute are unambiguous, there is no need for further inquiry into the meaning of the words of a statute. *Id.* Where "the statute's language is plain, the sole function of the courts is to enforce it according to its terms." *In re Cowen*, 849 F.3d 943, 949 (2017) (quoting *Frieouf v. United States (In re Frieouf)*, 938 F.2d 1099, 1102–03 (10th Cir. 1991)).

The issue here is the meaning of the term "act" under section 362(a)(3). When a term is not expressly defined by a statute, the proper place to begin is with its ordinary meaning. *Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). The term "act" is defined as "the process of doing something." *Act*, MERRIAM-WEBSTER ONLINE DICTIONARY (2019); *see also Act*, BLACK'S LAW DICTIONARY (10th ed. 2014) (defining "act" to mean "the process of doing or performing"). Section 362(a)(3) thus unambiguously precludes entities from "doing something" to exercise control over property of the estate. It neither covers passively retaining an asset nor "impose[s] an affirmative obligation to turnover property of the estate." *In re Cowen*, 849 F.3d at 949.

Without a post-petition, affirmative "act"—that is, doing something to exercise control over property of the estate—by the third-party possessor, no stay violation occurs under section 362(a)(3). *Id.* at 950. Furthermore, the automatic stay "serves as a restraint on acts to gain possession or control over property of the estate," after the filing of a bankruptcy petition—not before. *Inslaw*, 932 F.2d at 1474. Thus, section 362(a)(3) does not apply to prepetition acts.

B. A creditor who passively retains possession of property legally repossessed from the debtor prepetition does not "exercise control over property of the estate."

A possessory interest in property of the debtor lawfully in possession of a third party when the bankruptcy proceeding commences is not property of the estate. Such a property interest does not become part of the estate until the trustee or debtor-in-possession obtains a turnover order under section 542(a), which then brings the possessory interest into the estate by way of section 541(a)(7).

First, section 542(a) provides that ". . . an entity . . . in possession . . . of property that the trustee may sell, use, or lease *under section 363* of this title, . . . shall deliver to the trustee, and account for, such property or the value of such property, *unless* such property is of

inconsequential value or benefit to the estate." 11 U.S.C. § 542(a) (emphasis added). Notwithstanding the mandatory implication of the word "shall," the provision cannot be self-executing because it does not require turnover without exception. *Hall*, 502 B.R. at 663. Therefore, a possessory interest in property of the debtor cannot be automatically transferred from the creditor-in-possession to the debtor upon filing a bankruptcy petition by virtue of section 542(a).

Second, upon commencement of the case, the estate does not have a possessory interest in property in the possession of a creditor. Rather, the trustee must act to bring the possessory interest in the asset into the estate by seeking an order for turnover under section 542(a). Because the possessory interest is not property of the estate until a turnover order issues, the creditor is thus *not exercising control* over "property of the estate" by passively retaining assets legally repossessed prepetition.

i. On its face, section 542(a) is not self-executing.

The bankruptcy estate's turnover rights are not absolute. Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?*, Bankruptcy Law Letter, Sept. 2013, at 4. Contrary to what *Weber* suggests, section 542(a) "does not require delivery to the trustee *without condition*." *Hall*, 502 B.R. at 662; *Weber*, 719 F.3d at 79. The statute itself provides several defenses to turnover.

The first defense to a turnover action under section 542(a), and a defense applicable in this case, applies to property that is "of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). A determination regarding the value and benefit of property to the bankruptcy estate is not a self-evident and clear course of action, particularly when considering the estate's obligation to provide adequate protection to secured creditors. Brubaker, *Part II* at 4. "Thus, section 542(a)

(on its face) seems to contemplate such a determination by the bankruptcy court in the context of a turnover action initiated by the estate." *Id*.

In this case, the Debtor made no payments to Respondent on the $450,000 loan secured by the snow plow trucks. R. at 5. Respondent obtained a judgment against the Debtor for the full $450,000 of the original loan. R. at 5. Because the Debtor failed to make any payments on the trucks, the Debtor likely had no equity in the trucks—making them of limited value to the bankruptcy estate. It is undisputed the Debtor's efforts at reorganization were futile because, "among other reasons," the Debtor was losing its contract to plow for the City of Badlands. R. at 6–7. Even if the Debtor had not lost that contract, it is unlikely that reorganization would have been successful because the Debtor's bid for the contract was so low that payments received from the City of Badlands during years of plentiful snowfall were not sufficient to cover the Debtor's operating expenses. R. at 5–6. Therefore, Respondent's possession of the snow plow trucks was not the cause of the Debtor's inability to reorganize.

Nor did Respondent impair the Petitioner's ability to maximize the value of the estate by passively retaining the snow plow trucks. On the contrary, had Respondent agreed to turn over the snow plow trucks to the Petitioner, the estate would have been worse off. The Petitioner contends that he was unable to sell the business to Tenth Avenue because its offer was for all of the assets of the Debtor, including the snow plow trucks in Respondent's possession. R. at 8. The Petitioner claims that Respondent's refusal to deliver the snow plow trucks resulted in damages to the estate in the amount of $100,000. R. at 9. But when Tenth Avenue did not purchase the Debtor's assets because of the missing snow plow trucks, Stone Pony made an offer for the business assets, not including the snow plow trucks, for $100,000 less than Tenth Avenue's offer. R. at 8.

Respondent held a security interest in the snow plow trucks for $450,000, and the Debtor failed to make any payments pursuant to the loan agreement. If Respondent had delivered the trucks to the estate, as requested, the estate would have had to pay Respondent $450,000 out of the proceeds from the sale. R. at 4–5. Although the estate received $100,000 less from Stone Pony for the business assets than it would have received from Tenth Avenue, the estate was not obligated to pay Respondent $450,000 out of those proceeds. Because Respondent held the trucks, the estate did not owe Respondent any of the proceeds from the sale to Stone Pony. Upon examining these facts in a turnover action, a court would likely determine that the snow plow trucks were of no value or benefit to the estate.

The second defense to a turnover action relies on the interaction of section 542(a) with section 363. The property subject to turnover under section 542(a) is "property that the trustee may use, sell, or lease under section 363 of this title." 11 U.S.C. § 542(a). The explicit mention of section 363 in section 542(a) brings into play section 363(e)'s adequate protection provision for interested third parties, anytime the debtor or trustee demands turnover under section 542(a). Brubaker, *Part II* at 5. Therefore, under section 542(a), when the trustee seeks turnover of property of the estate that it proposes to use, sell or lease, "the court . . . shall prohibit or condition such use, sale, or lease [on request of the creditor in possession] as is necessary to provide adequate protection of such interest." 11 U.S.C. § 363(e).

Requiring a creditor to turn over an asset in its possession before it can seek adequate protection through a court order, as would be required if section 542(a) were self-executing, would cause the creditor to go through a period of time when it had neither possession nor adequate protection. In *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 207 (1983), this Court held that the "Bankruptcy Code provides secured creditors various rights, including the right to

adequate protection, and these rights replace the protection afforded by possession." Requiring turnover before adequate protection has been ordered by the court would cause the creditor irreparable harm if the property is damaged or destroyed in between the moment of turnover and the order for adequate protection. *Hall*, 502 B.R. at 660.

Further, if a creditor raises any of the defenses to turnover under section 542(a), the creditor should not be held in contempt for violating the stay under section 362(a)(3). *Id*. at 663. A creditor that refuses to turn over property of the estate should only be held in contempt under section 362(a)(3) upon the issuance of a turnover order—after adjudicating the rights of the parties to possession of the property under all relevant provisions of the Bankruptcy Code, including its rights to the defenses under section 542(a). *Id*. Congress could not have intended for a violation of the automatic stay to occur whenever a creditor already in possession of property at the time the petition is filed mistakenly believes he has a valid defense to the turnover provision of section 542(a). *Inslaw, Inc.*, 932 F.2d at 1473. "If the majority view of section 362(a)(3) were to prevail, it would lead to the absurd result that when turnover is not required under section 542(a) . . . the failure to have delivered the property to the trustee would constitute a stay violation." *See* Brubaker, *Part II* at 4; *Hall*, 502 B.R. at 666. Moreover, "[i]t is an elementary rule of construction that 'the act cannot be held to destroy itself.'" *Citizens Bank v. Strumpf*, 516 U.S. 16, 20 (1995) (citation omitted). Treating section 542(a) as self-executing would both destroy the creditor's right to adequate protection under section 363(e) and the creditor's right to the defenses as enumerated in section 542(a). *Hall*, 502 B.R. at 660. In short, if the majority view were correct, section 542(a) would serve no purpose. Brubaker, *Part II* at 6.

In *Citizens Bank v. Strumpf*, this Court held that a broad interpretation of the automatic stay must yield to the express statutory protections afforded to a secured creditor by the section

542(b) turnover provision. Brubaker, *Part II* at 6–7. In *Strumpf*, the bankruptcy court ruled that the creditor's administrative hold, pending a request for setoff permitted under sections 542(b) and 553(a) of the Bankruptcy Code, violated the automatic stay provision of section 362(a)(7). *Strumpf*, 516 U.S. at 18. This Court, however, disagreed. *Strumpf*, 516 U.S. at 20–21. It explained that the bankruptcy court erred in construing the automatic stay provision broadly, which effectively eviscerated section 542(b)'s explicit exception to the duty to pay debts. *Id.*

This Court has refused to give section 362(a)(3) an interpretation that would proscribe what section 542(b)'s exception was "plainly intended to permit." *Id.* In other words, "the automatic stay should *not* be interpreted as a self-executing turnover provision that exceeds the scope of the section 542(b) turnover provision." Brubaker, *Part II* at 7. Likewise, "[t]he right of adequate protection cannot be rendered meaningless by an interpretation of sections 363(a)(3) and 542(a) that would compel turnover even before an opportunity for the court's granting of adequate protection." *In re Bernstein*, 252 B.R. 846, 851 (Bankr. D.C. 2000).

"Because section 542(a) is on its face subject to explicit defenses, section 542(a) is not a self-executing statutory provision that, without condition, compels turnover of estate property possessed by a creditor." *Hall*, 502 B.R. at 663.

ii. Under principles of statutory construction, section 542(a) is not self-executing.

This Court has held that Congress "does not alter the fundamental details of a regulatory scheme in vague terms or ancillary provisions." *Whitman v. Am. Trucking Ass'ns*, 531 U.S. 457, 468 (2001). If Congress intended to create an affirmative obligation to turn over property belonging to the estate but possessed by a third party, "it would have done so explicitly." *In re Cowen*, 849 F.3d at 950; *See also Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *5 (D.N.J. Nov. 1, 2018) ("If Congress had meant to add an affirmative obligation—to the

automatic stay provision no less, as opposed to the turnover provision—to turn over property belonging to the estate, it would have done so explicitly.")

Another principle of statutory construction—*noscitur a sociis*—requires the conclusion that section 542(a) is not self-executing. *Hall*, 502 B.R. at 658. When the drafter used the same word in sister provisions, the word should be given the same meaning in each provision. *Id*. Though section 542(b)—like section 542(a)—uses the word "shall," this Court has held that section 542(b) is not self-executing because it contains exceptions to the obligation imposed by the word "shall." *Strumpf*, 516 U.S. at 21. Section 542(a), which also uses the obligatory term "shall," contains exceptions to the obligation imposed by the word "shall." Because words in sister provisions should be given the same meaning in each provision, section 542(a) is thus not self-executing.

Lastly, the Federal Rules of Bankruptcy Procedure and well-established bankruptcy practice also demonstrate that section 542(a) is not self-executing and that a debtor must file a complaint for turnover. Bankruptcy Rule 7001(1) requires the commencement of an adversary proceeding for "a proceeding to recover money or property." Fed. R. Bankr. P. 7001(1). When invoking section 542(a), the trustee is attempting to recover "property." Thus, Rule 7001(1) should control, and an adversary proceeding—a turnover action—is required. *See In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990) (holding that turnover actions fall within the scope of Bankruptcy Rule 7001(1)).

"The Court 'will not read the Bankruptcy Code to erode past bankruptcy practice absent a clear indication that Congress intended such a departure.'" *Hall*, 502 B.R. at 664 (citation omitted). Before the 1984 amendments to the Bankruptcy Code added the "exercise control" language to section 362(a)(3), section 542(a) was not considered self-executing. *Hall*, 502 B.R.

at 664. Rather, the well-established practice was that a creditor was not required to relinquish possession until a turnover order was issued, thus allowing the creditor to raise defenses to turnover before being required to deliver the property to the trustee. *Id.* Section 542(a) is the codification of a well-established practice enabling the trustee to file a complaint for turnover. *Id*. at 667. Once the trustee initiates the turnover action, a creditor may raise any available defenses. *Id*. When a creditor refuses to deliver property to the estate until a turnover order issues, it is "not an act to exercise control over property of the estate." *Id*; *see Inslaw*, 932 F.2d at 1473 (arguing that a mistaken refusal to capitulate to a turnover demand is not a violation of section 362(a)(3)).

Last, there is no evidence in the statute itself or in the Congressional record that indicates that Congress intended to alter the "well-established practice" that permits creditors to raise defenses to a turnover action before they must turn over the property to the trustee. *Hall*, 502 B.R. at 664. Therefore, Petitioner's contention that the passive retention of property is prohibited by the phrase "exercise control" in the amended version of section 362(a)(3) conflicts with the presumption that major departures from well-established practice should not be read into the Bankruptcy Code without clear congressional intent. *Hall*, 502 B.R. at 664 (citations omitted).

iii. A creditor legally in possession of a debtor's asset is not exercising control over "property of the estate" until a turnover order issues.

Filing a bankruptcy petition creates a bankruptcy estate comprised of "all *legal or equitable interests* of the debtor in property *as of the commencement of the case*." 11 U.S.C. § 541(a)(1) (emphasis added). Congress made a deliberate choice to define "property of the estate" using the legal understanding of property, which is reflected by the "bundle of sticks" metaphor. Brubaker, *Part II* at 4. One of the sticks in the bundle is the right of possession, which, in the case of turnover, is held by the creditor prepetition. Brubaker, *Part II*, at 5. Another stick reflects

the equitable interests the debtor has in its property held by the creditor upon commencement of the case.

A secured creditor who is in possession of property on the petition date and who passively retains that property is not exercising control over "property of the estate" because the estate does not have a possessory interest in the property until the estate obtains possession via a turnover order under section 542(a). *Hall*, 502 B.R. at 667. This Court in *Whiting Pools* explained that section 542(a) "grants to the estate a possessory interest" in property of the debtor—property that the debtor did not have in its possession at the commencement of the proceedings. *Whiting Pools*, 462 U.S. at 207. If section 542(a) grants the estate a possessory interest, which the debtor did not have at the commencement of the proceedings, then it follows that the estate does not have a possessory interest until it obtains that interest via a section 542(a) turnover order. Therefore, a creditor who passively retains property of the debtor cannot be "exercising control" over "property of the estate" because the possessory interest does not become property of the estate until a court issues a turnover order under section 542(a). If section 541(a)(1) included all of the interests in the bundle of sticks, including the right of possession, even when the debtor lacked possession of an asset at the commencement of the proceedings, the command of section 542(a) would be unnecessary because the estate would have already included the possessive right to the property by virtue of section 541(a)(1). *Whiting Pools*, 462 U.S. at 207 n. 15. As discussed above, "'the act cannot be held to destroy itself.'" *Strumpf*, 516 U.S. at 20 (citation omitted).

The possessory rights held by a creditor at the commencement of the case can only be brought into the estate through the operation of sections 542(a) and 541(a)(7); as these rights are not part of the bankruptcy estate at the commencement of the case. Section 541(a)(1) only

includes "legal or equitable interests of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1). Section 541(a)(7), on the other hand, brings into the estate "any interest in property that the *estate acquires after* the commencement of the case." 11 U.S.C. § 541(a)(7) (emphasis added). Working together, sections 542(a) and 541(a)(7) can bring a possessive interest in property held by a third-party at the commencement of the case into the bankruptcy estate, but "they do not purport to make possession of the recovered property an interest of the estate in property until there is an *actual recovery.*" *Hall*, 502 B.R. at 668 (emphasis added).

Because, as discussed above, section 542(a) is not self-executing, the possessory rights are not "property of the estate" until a turnover order is issued, at which point the possessory rights become property of the estate under section 541(a)(7). Therefore, a creditor who passively possesses property legally seized prepetition is not "exercising control" over property of the estate, because the estate does not hold the possessory right to the property. Brubaker, *Part II* at 5; *See also In re Hall*, 502 B.R. at 669 ("[E]ven if a passive act of continuing to retain possession could be viewed as an act to exercise control, it is not an exercise of control over a present possessory interest that is property of the estate, and thus does not violate the automatic stay.").

Only affirmative acts to exercise control over property of the estate violate the automatic stay. Passive retention of property legally possessed prepetition is not an affirmative act. Property of the estate does not include assets possessed by a third party at the commencement of the case unless and until the trustee successfully obtains a turnover order under section 542(a).

Therefore, without a turnover order, Respondent's passive retention of the snow plow trucks, which he legally repossessed prepetition, cannot constitute "exercis[ing] control over property of the estate" in violation of the automatic stay under section 363(a)(3).

II. Bankruptcy courts have authority to grant administrative expenses for substantial contributions in chapter 7 cases.

The Thirteenth Circuit correctly held that section 503(b) allows an administrative expense in a chapter 7 case where, as here, a creditor's actions substantially benefitted the estate. Congress deliberately drafted section 503(b) using the word "including," which the Bankruptcy Code instructs should not be interpreted in a limiting manner. 11 U.S.C. § 102(3). Indeed, Congress understood the need to grant bankruptcy courts discretion in awarding administrative expenses because it is impossible to foresee all possible situations where such compensation is warranted. This interpretation, moreover, is consistent with the equitable powers bankruptcy courts exercise in carrying out the provisions of the Bankruptcy Code. Through the discretionary language and flexible structure of section 503(b), Congress thus granted bankruptcy courts authority to award administrative expenses for substantial contributions in cases under chapter 7.

Because section 503(b)(3)(D) expressly permits administrative expenses for substantial contributions in cases under chapter 9 or 11, Petitioner asserts that bankruptcy courts lack the power to award creditors administrative expenses for substantial contributions in any other type of case. This assertion, however, is inapposite for several reasons. Petitioner's purported interpretation conflicts with Congress' choice of non-limiting language in section 503(b) and is inconsistent with the structure of the statute. Neither section 503(b)(3)(D) nor any provision in the Bankruptcy Code prohibits the award of an administrative expense for a creditor's substantial contribution in a chapter 7 case.

Permitting an administrative expense for a creditor's substantial contribution in a case under chapter 7 also is consistent with the purpose of the Bankruptcy Code, which operates to provide equitable relief to both debtors and creditors. Affirming the decision below advances the policies of the Bankruptcy Code by increasing creditor vigilance and participation rather than

hindering actions that benefit the estate. Whereas, adopting Petitioner's interpretation of section 503(b) would have a chilling effect upon creditor participation in bankruptcy proceedings and result in the loss of assets for estates in general.

In short, Congress provided for compensation under these circumstances. Respondent's actions increased the value of the bankruptcy estate for the benefit of all creditors involved in the proceeding. Indeed, it is undisputed that Respondent's actions substantially benefited the estate. As a court of equity properly exercising its discretionary authority under section 503(b), the bankruptcy court below made a well-reasoned and thoughtful ruling when it granted Respondent an administrative expense.

For these reasons, this Court should affirm the Thirteenth Circuit's finding that section 503(b) permitted the bankruptcy court to grant Respondent an administrative expense for his substantial contribution to the estate in this chapter 7 case.

A. Permitting an administrative expense in a chapter 7 case is consistent with the plain meaning and structure of section 503(b).

The statutory language is the point of departure for statutory interpretation. *Marx v. Gen. Revenue Corp.*, 568 U.S. 371, 388 (2013). "[C]ourts must presume that a legislature says in a statute what it means and means in a statute what it says." *Conn. Nat'l Bank*, 503 U.S. at 253–54. It also is "a cardinal principle of statutory construction" that, whenever possible, a statute should be construed so that "no clause, sentence, or word shall be superfluous, void, or insignificant." *TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001) (quoting *Duncan v. Walker*, 533 U.S. 167, 174 (2001)). Accordingly, courts should read statutes to avoid conflicts when possible. *Pittsburgh & Lake Erie R. Co. v. Railway Labor Execs.' Ass'n*, 491 U.S. 490, 510 (1989) (holding that "when two statutes are capable of co-existence, it is the duty of the courts, absent a clearly expressed congressional intention to the contrary, to regard each as effective.") (citation omitted).

The non-limiting language in section 503(b) and structure of the statute evinces congressional intent that bankruptcy courts have discretion to award administrative expenses for substantial contributions in chapter 7 cases. This interpretation—contrary to Petitioner's purported reading—both avoids any conflict between section 503(b) and subsection 503(b)(3)(D) and gives effect to every word in the statute.

i. Congress provided bankruptcy courts with discretion and flexibility in granting administrative expenses.

Section 503(b) provides: "After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, *including* . . . ." 11 U.S.C. § 503(b) (emphasis added). This section sets forth a non-exhaustive list of nine categories of expenses entitled to administrative priority. *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 816 (6th Cir. 2015); *Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.)*, 991 F.2d 233, 238 (5th Cir. 1993); *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc.)*, 963 F.2d 1449, 1452 (11th Cir. 1992). One such category speaks to the efforts of creditors who make a substantial contribution to the bankruptcy estate. Section 503(b)(3)(D) allows administrative expenses for, *inter alia*, "the actual, necessary expenses . . . incurred by . . . a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D).

A plain reading of section 503(b)—particularly the use of the word "including" in the statute's introductory clause—reflects that Congress intended bankruptcy courts to exercise discretion in granting administrative expenses for claims not specifically listed in section 503(b)'s subsections. "In construing a statute, the use of a form of the word 'include' is significant, and generally thought to imply that terms listed immediately afterwards are an inexhaustive list of examples, rather than a bounded set of applicable items." *In re Mark Anthony*

Constr., Inc., 886 F.2d 1101, 1106 (9th Cir. 1989). Congress deliberately drafted section 503(b) using the word "including," which the Bankruptcy Code itself provides is not limiting. 11 U.S.C. § 102(3).

Congress did not have to explicitly spell out in the statute every situation in which a creditor may seek compensation. In other words, if a creditor undertakes necessary work that the court finds substantially benefitted the estate, the court has the ability (but not the obligation) to allow that creditor compensation. Bankruptcy courts thus often exercise discretion to award administrative expenses for activities that do not fall within one of section 503(b)'s nine enumerated categories. *See, e.g.*, *In re Integrity Supply, Inc.*, 417 B.R. 514, 521–22 (Bankr. S.D. Ohio 2009); *In re Zedda*, 169 B.R. 605, 608 (Bankr. E.D. La. 1994); *In re Pappas*, 277 B.R. 171, 176 (Bankr. E.D.N.Y. 2002); *In re Rumpza*, 54 B.R. 107, 109 (Bankr. D. S.D. 1985).

Consistent with this interpretation of section 503(b), several courts have held administrative expenses are permitted in chapter 7 cases where, as here, the services performed substantially benefitted the estate. *See In re Connolly N. Am., LLC*, 802 F.3d at 817–19; *In re Javed*, 592 B.R. 615, 621 (Bankr. D. Md. Oct. 11, 2018); *In re Maust Transp., Inc.*, 589 B.R. 887, 898–99 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342, 353–54 (Bankr. D. Colo. 2018); *In re Maqsoudi*, 566 B.R. 40, 44–45 (Bankr. C.D. Cal. 2017). Indeed, the statutory language "strongly implies that the subprovisions after 'including' in section 503(b)(3)(D) are examples rather than an exhaustive list," and substantial contributions claims are not limited to cases under chapters 9 and 11. *In re Sharkey*, Case No. 17-11237, 2017 WL 5476486, at *6 (E.D. Mich. Nov. 15, 2017) (upholding a substantial contribution administrative expense in a chapter 13 case).

Congress expressly provided that bankruptcy courts should grant an administrative expense for a substantial contribution in a case under chapter 9 or 11 of the Bankruptcy Code. *See* 11 U.S.C. § 503(b)(3)(D). But giving effect to this language does not require the conclusion that substantial contribution claims are precluded in cases under any other chapter. While Congress explicitly provided guidance on how a court should view the efforts of creditors in cases under chapters 9 or 11 because they occur most frequently, it left courts with the discretion on how to handle substantial contribution claims in other types of cases. *In re Connolly N. Am., LLC*, 802 F.3d at 817. Congress's choice of non-limiting language in section 503(b) shows it trusted bankruptcy courts to use their judgment and experience to determine when circumstances warrant compensation.

This interpretation is also consistent with the "overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction." *See Bank of Marin v. England*, 385 U.S. 99, 103 (1966). Congress provided bankruptcy courts with authority to exercise their equitable powers where necessary or appropriate to implement the provisions of the Bankruptcy Code. *See* 11 U.S.C. § 105(a). ("The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title."). Understanding it could not possibly foresee all of the twists and turns in bankruptcy cases, Congress left the language in section 503(b) discretionary and provided bankruptcy courts with flexibility in exercising its equitable powers. Interpreting section 503(b)(3)(D) as endorsing substantial contribution claims in chapter 9 and 11 cases but not precluding such claims in cases under other chapters thus aligns with both the plain meaning and structure of the statute.

ii. Section 503(b)(3)(D) does not preclude a bankruptcy court from awarding an administrative expense for a substantial contribution in a chapter 7 case.

Some courts—relying on cannons of statutory construction such as *expressio unius est exclusio alterius* (i.e., the expression of one thing implies the exclusion of another)—have concluded that the specific reference to chapters 9 and 11 in section 503(b)(3)(B) creates the negative implication that substantial contribution claims are precluded in cases under chapter 7. *See In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996); *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005). This interpretation is both misguided and unnecessary for several reasons.

First, a restrictive interpretation of section 503(b)'s list of administrative expenses is contrary to both the plain language and structure of the statute. Restricting substantial contribution claims to chapter 9 and 11 cases turns Congress's broad grant of discretion into a limitation, which conflicts with the unambiguous meaning of the word "including" in section 503(b)'s introductory clause. *See In re Connolly N. Am., LLC*, 802 F.3d at 818. Adopting Petitioner's construction of the statute, moreover, disturbs the "cardinal principle of statutory construction" by rendering Congress's deliberate insertion of the word "including" in section 503(b) "insignificant, if not wholly superfluous." *TRW Inc.*, 534 U.S. at 31 (quoting *Duncan v. Walker*, 533 U.S. at 174).

Circumscribing this grant of discretion by reading congressional intent into the absence of statutory language that explicitly permits administrative expenses for substantial contributions in cases under chapter 7 also is inconsistent with the generally-accepted, overarching structure of section 503(b). *See id.* at 816; *In re Al Copeland Enters., Inc.*, 991 F.2d at 238; *In re N.P. Mining Co. Inc.*, 963 F.2d at 1452. Indeed, "concluding that the subsections of section 503(b) are non-

exhaustive, but that the subsections of 503(b)(3) are exhaustive, would make the application of the statute to situations outside its plain language untenable." *In re Maqsoudi*, 566 B.R. 40 at 44.

Second, nothing in section 503(b) prohibits a bankruptcy court from awarding an administrative expense for a substantial contribution in a chapter 7 proceeding where the circumstances warrant such an award. If Congress had intended to preclude substantial contribution claims in chapter 7 cases, it could have expressly done so. *Id.*; *accord* 11 U.S.C. § 503(c) (amending section 503 to reduce the broad discretion Congress previously afforded to courts in granting administrative expenses by disallowing certain types of retention compensation to insiders). It did not. Congress instead used broad, non-limiting language when drafting section 503(b)(3) to empower courts with discretion to grant administrative expenses for substantial contributions in chapter 7 cases. Thus, "absent a clear intention to disallow a type of expense, such expenses should rise or fall based on the facts of the case and other guiding caselaw." *In re Maust Transport, Inc.*, 589 B.R. at 898.

Third, the canon of construction *expressio unius est exclusio alterius* is inapplicable to section 503(b)(3)(D) because it contradicts the plain meaning of section 503(b)'s prefatory clause. Although the Ninth Circuit has not ruled on the specific issue before this Court, it has rejected the use of *expressio unius est exclusio alterius* relied on by several courts and the dissent below. *See Mark Anthony*, 886 F.2d at 1106 (holding interest should be included as part of a tax administrative claim though interest is not included in the specific types of items referenced in connection with tax claims allowed as administrative claims under section 503(b)(1)(B) and (C)). In so doing, the Ninth Circuit recognized that Congress used the word "including"—which the Bankruptcy Code provides is not a limiting term—to introduce section 503(b)'s list of administrative expenses. *Id.* "Especially in light of this unambiguous general directive," the

Ninth Circuit "conclude[d] that the administrative expense statute's use of 'including' renders the *expressio unius* rule inapplicable to section 503." *Id.*

Fourth, giving effect to Congress's specific reference to chapter 9 and 11 cases in section 503(b)(3)(D) does not require the conclusion that substantial contribution claims in cases under any other chapter were eliminated. As *Connolly* explained, there are good reasons for why Congress specifically referenced chapters 9 and 11 in section 503(b)(3)(D). *In re Connolly N. Am.*, *LLC*, 802 F.3d at 817. Because cases under chapters 9 and 11 usually do not involve independent trustees, a creditor will spend its own resources and time to benefit the estate, whereas chapter 7 proceedings involve appointed trustees who fulfill this role. *Id.*; *see also* 11 U.S.C. § 701(a)(1) (providing for appointment of "one disinterested person"). Therefore, "[i]t makes good sense that in providing examples, Congress would expressly mention Chapters 9 and 11 in the context of creditor activity making a 'substantial contribution,' but not Chapter 7." *In re Connolly N. Am.*, *LLC*, 802 F.3d at 817. This interpretation gives effect to every word in the statute and avoids a conflict between section 503(b) and subsection 503(b)(3)(D).

Fifth, there is no reason to go beyond this reading to find Congress intended to eliminate the discretion of bankruptcy courts in considering substantial contribution claims in cases under chapter 7. As the Thirteenth Circuit recognized, bankruptcy courts generally are directed to strictly construe administrative expense requests to preserve the estate for the benefit of all creditors. (R. at 18) (citing *Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007). But adding restrictions to section 503(b) that are not expressly set forth in the statute is "unnecessary in light of the restrictive and conservative approach to the allowance of administrative expenses generally and the strict definition of terms such as 'substantial contribution.'" *In re Maust Transport, Inc.*, 589 B.R. at 893–94. The claimant,

moreover, has the burden of proving an administrative expense claim. *Microsoft Corp. v. DAK Indus., Inc. (In re DAK Indus., Inc.)*, 66 F.3d 1091, 1094 (9th Cir. 1995). Thus, there are adequate safeguards in place to mitigate concerns that in chapter 7 cases, allowing administrative expenses for substantial contributions will deplete the estate to the detriment of creditors.

In a situation, such as here, where a creditor has made a substantial contribution to a chapter 7 case, section 503(b) provides bankruptcy courts with discretion to grant an administrative expense in accordance with the equities of the case.

B. Allowing administrative expenses in chapter 7 cases advances the policies of the Bankruptcy Code.

The policies of the Bankruptcy Code are best served by allowing administrative expenses in a chapter 7 case where a creditor's actions substantially benefit the estate. Conversely, not permitting bankruptcy courts to grant administrative expenses to creditors in a case under chapter 7 contravenes the spirit of the Code by discouraging creditors from taking action that would benefit the estate.

"The purpose of section 503(b)(3)(D) is to encourage creditors *in whatever chapter a bankruptcy case is filed* to 'substantially contribute' to the estate by pursuing funds that will be available for distribution to claimants." *In re Maust Transp., Inc.*, 589 B.R. at 898 (emphasis added). A creditor, such as Respondent, who takes action to benefit the estate by assisting the trustee in the recovery of assets enhances the pool of funds available for all creditors. Such efforts—which are not intended to impede or thwart the chapter 7 process—should be rewarded. More importantly, encouraging such behavior by awarding compensation makes sense, especially when the court will have the benefit of hindsight when reviewing the creditor's application. If the creditor's efforts yielded little or no gain, or if they were intended to obstruct the chapter 7 process, the court can deny the application for an administrative expense.

Bankruptcy courts should have the ability to exercise their equitable and statutory powers to determine when the circumstances of a particular case warrant compensation.

Adopting the position of Petitioner—that section 503(b)(3)(D) divests bankruptcy courts of authority to allow reimbursement in chapter 7 cases—will disincentivize creditor participation and result in the loss of assets for estates in general. *See In re Connolly N. Am., LLC*, 802 F.3d at 818. Several courts have recognized the "chilling effect" that ensues if creditors are not reimbursed for efforts that benefit the estate:

> To not allow, under the appropriate circumstances, creditors and their counsel to recover fees and costs incurred and paid with relation to this investigation [of the financial affairs of the debtor] and prosecution of action would have a chilling effect upon creditor participation within a bankruptcy proceeding.

In re Zedda, 169 B.R. at 607–08 (quoting *In re Antar*, 122 B.R. 788, 791 (Bankr. S.D. Fla. 1990)). Depriving creditors of the possibility of allowed administrative expenses for substantial contributions in chapter 7 cases thus is contrary to the spirit of the Bankruptcy Code. And, as the Thirteenth Circuit recognized, "[s]ection 503(b) simply cannot be read to compel such a result." (R. at 20).

Moreover, affirming the decision of the Thirteenth Circuit advances the policies of the Bankruptcy Code by increasing creditor vigilance and participation. "If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate." *In re Maust Transp., Inc.*, 589 B.R. at 898–99. Accordingly, this Court should preserve the discretion of bankruptcy courts to consider and award administrative expenses in those circumstances, like the case at bar, where a creditor voluntarily steps up and performs necessary services which yield a substantial benefit for the estate.

C. The bankruptcy court's decision to grant Respondent an administrative expense was equitable.

Congress, as explained above, granted bankruptcy courts discretion under section 503(b) to award an administrative expense for a substantial contribution in a chapter 7 proceeding. The bankruptcy court—as a court of equity properly exercising its discretion—made a well-reasoned and thoughtful ruling when it granted Respondent an administrative expense for the substantial contribution he made to the estate. The equities in this case favor upholding that decision by affirming the judgment of the Thirteenth Circuit.

In May 2017, following conversion of the case to chapter 7, Respondent financed a creditors' examination of Clemons as part of his collection efforts related to Clemons's personal guarantee. R. at 7. Through this examination, Respondent discovered that shortly after he filed his initial suit against the Debtor and Clemons in May 2016, the Debtor made transfers of approximately $100,000 in cash to a bank account in the name of Patti Clemons, the daughter of Clemons. R. at 7. Respondent voluntarily provided this invaluable information—documentation of the transfers and testimony to establish that the transfers were fraudulent—to the Trustee. R. at 7. With the evidence Respondent provided, the Trustee filed a complaint against Patti Clemons to recover the fraudulent transfers. R. at 7. Patti Clemons promptly settled with the Trustee and agreed to pay $75,000 to the estate. R. at 7.

It is undisputed that Respondent made a substantial contribution to the bankruptcy estate by providing the Petitioner with the necessary documentation and testimony to prove that Clemons' cash transfers to Patti Clemons were avoidable as fraudulent transfers. R. at 20. Respondent's actions resulted in a quick settlement of the fraudulent transfer claims and increased the value of the bankruptcy estate for the benefit of all creditors involved in the proceeding. R. at 20. Without the evidence that Respondent provided, the Petitioner might not

have been able to reach the favorable settlement with Patti Clemons. R. at 7. Undoubtedly, creditors were happy that someone stepped up and helped them receive additional funds.

In investigating the fraudulent transfers and providing the Petitioner with sufficient evidence to pursue recovery of the transfers, Respondent incurred $25,000 in legal fees. R. at 7. The bankruptcy court could have chosen to deny Respondent's administrative expense claim as an exercise of its own discretion. But the bankruptcy court here did not. Rather, it properly exercised its discretion in granting Respondent an administrative expense because Respondent's actions resulted in the recovery of assets that substantially benefitted the estate. R. at 21. Thus, this Court should affirm the judgment of the Thirteenth Circuit.

CONCLUSION

A violation of the automatic stay provision of section 362(a)(3) cannot include prepetition acts to legally repossess property because section 542(a) is not self-executing and requires a turnover action to resolve the rights of the parties. The purpose of the Bankruptcy Code is to provide relief to debtors while also protecting the interests of creditors. As such, Respondent's passive retention of the Debtor's property, which Respondent legally repossessed prepetition, did not violate section 362(a)(3).

The language and structure of section 503 empowers bankruptcy courts with discretion to grant an administrative expense for a creditor's substantial contribution in a case under chapter 7. Allowing bankruptcy courts to award administrative expenses for substantial contributions in chapter 7 cases where the equities in the case favor such an award advances the policies of the Bankruptcy Code. The equities in this case support the bankruptcy court's decision to award Respondent an administrative expense for the substantial contribution he made to the estate.

For the foregoing reasons, the judgement of the Thirteenth Circuit should be affirmed.

Respectfully Submitted,

Team R. 46,
Counsel of Record

APPENDIX A

11 U.S.C. § 102 (1986).

Rules of construction.

In this title—
(1) "after notice and a hearing", or a similar phrase—
(A) means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but
(B) authorizes an act without an actual hearing if such notice is given properly and if—
(i) such a hearing is not requested timely by a party in interest; or
(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;
(2) "claim against the debtor" includes claim against property of the debtor;
(3) "includes" and "including" are not limiting.

APPENDIX B

11 U.S.C. § 105 (2010).

Power of court.

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

APPENDIX C

11 U.S.C. § 362 (2010).

Automatic Stay.

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4) any act to create, perfect, or enforce any lien against property of the estate;

(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

APPENDIX D

11 U.S.C. § 363 (2010).

Use, sale, or lease of property.

(a) [omitted]
(b)

(1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless—

(A) such sale or such lease is consistent with such policy; or

(B) after appointment of a consumer privacy ombudsman in accordance with section 332, and after notice and a hearing, the court approves such sale or such lease—

(i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and

(ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(c)-(d) [omitted]
(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

APPENDIX E

11 U.S.C. § 503 (2005).

Allowance of administrative expenses.

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.
(b)After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

(1)

(A) the actual, necessary costs and expenses of preserving the estate including—

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax—

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title;

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102

of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;
(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or
(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee.

APPENDIX F

11 U.S.C. § 541 (2014).

Property of the estate.

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is—

(A) under the sole, equal, or joint management and control of the debtor; or

(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.

(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.

(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date—

(A) by bequest, devise, or inheritance;

(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

(C) as a beneficiary of a life insurance policy or of a death benefit plan.

(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

(7) Any interest in property that the estate acquires after the commencement of the case.

APPENDIX G

11 U.S.C. § 542 (1994).

Turnover of property to the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

APPENDIX H

11 U.S.C. § 701 (1986).

Interim trustee.

(a)

(1) Promptly after the order for relief under this chapter, the United States trustee shall appoint one disinterested person that is a member of the panel of private trustees established under section 586(a)(1) of title 28 or that is serving as trustee in the case immediately before the order for relief under this chapter to serve as interim trustee in the case.

(2) If none of the members of such panel is willing to serve as interim trustee in the case, then the United States trustee may serve as interim trustee in the case.

APPENDIX I

Fed. R. Bankr. P. 7001.

Scope of Rules of Part VII.

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under §554(b) or §725 of the Code, Rule 2017, or Rule 6002.